

PAYROLL CALCULATION & STATUTORY COMPLIANCE GUIDE

Comprehensive Technical Specification & Real-World Employee Case Study

1. ATTENDANCE & PRO-RATA MULTIPLIER FORMULA

All monthly earnings and allowances are dynamically scaled using the employee's attendance ratio:

$$\text{Attendance Ratio} = \text{Total Paid Days} / \text{Total Payable Days}$$

- Total Payable Days: Calendar days in the payroll month (e.g., 30 or 31).
- Total Paid Days: Actual present days + approved paid leaves + public paid holidays.
- Pro-Rata Multiplier Example: 31 Paid Days / 31 Payable Days = 1.0 (100% full wage earned).

2. WAGE STRUCTURE: RATE OF WAGES vs. EARNED WAGES

Every employee possesses a fixed Rate of Wages (Base) and a monthly Earned Wages payout:

Wage Component	Base Rate (Appointment Letter)	Monthly Earned Formula
Basic Salary	Fixed Base Basic	Base Basic × Attendance Ratio
House Rent Allowance (HRA)	Fixed Base HRA	Base HRA × Attendance Ratio
Other Allowances	Fixed Base Allowance	Base Other Allowances × Attendance Ratio
Performance Bonus	Variable / Fixed Bonus	Base Bonus × Attendance Ratio
Monthly Leave Encashment	Fixed Monthly Benefit	Base Leave × Attendance Ratio
Advance Bonus	Statutory Advance Rate	Base Advance Bonus × Attendance Ratio
Gross Earnings (Total)	Sum of Base Components	Sum of All Earned Components

3. STATUTORY DEDUCTIONS & EMPLOYER CONTRIBUTIONS

Statutory Component	Type	Statutory Rate	Statutory Rules & Thresholds
Employee PF (EPF)	Employee Deduction	12% of Basic	Capped at ₹1,800/mo if Basic > ₹15,000
Employee ESIC	Employee Deduction	0.75% of Gross	Applicable ONLY if Gross > ₹21,000/mo
Professional Tax (P.Tax)	Employee Deduction	State Slab	Statutory max cap of ₹200.00/mo
Employee LWF (LWF EE)	Employee Deduction	₹10.00 / month	State Labour Welfare Fund employee share
Employer PF (EPF+EPS)	Company Overhead	12% / 13% of Basic	Statutory company pension & PF contribution
PF Admin & EDLI Charges	Company Overhead	1% of Basic	Statutory EPFO administrative charges (~ ₹150)
Employer ESIC	Company Overhead	3.25% of Gross	Applicable ONLY if Gross > ₹21,000/mo
Employer LWF	Company Overhead	₹20.00 / month	Company Labour Welfare contribution
Gratuity Accrual Provision	Company Overhead	(Basic × 15) / (26 × 12)	Statutory Payment of Gratuity Act (~4.81%)

REAL EMPLOYEE PAYROLL CASE STUDY: BRIJESH

Step-by-Step Mathematical Verification Matching 34-Column Corporate Excel Output

4. REAL EMPLOYEE PROFILE & ATTENDANCE PARAMETERS

Employee Name:	Brijesh	Employee ID / Code:	EMP002
Department / Role:	Operations / Executive	Payroll Month:	August 2026 (31 Days)
Total Payable Days:	31 Days	Total Paid Days:	31 Days (100% Present)
Attendance Multiplier:	31 / 31 = 1.00	ESIC Coverage Status:	Exempt (Gross > ₹21k)

5. STEP-BY-STEP MATHEMATICAL EXECUTION & REAL VALUES

Payroll Step / Component	Applied Formula & Logic	Calculation Breakdown	Final Amount
Earned Basic Salary	Base Basic × Attendance (1.0)	₹16,868 × 1.0	₹16,868.00
Earned HRA	Base HRA × Attendance (1.0)	₹8,434 × 1.0	₹8,434.00
Earned Other Allowances	Base Other × Attendance (1.0)	₹3,755 × 1.0	₹3,755.00
Earned Gross Salary	Sum of All Earned Components	₹16,868 + ₹8,434 + ₹3,755	₹29,057.00
Employee PF (12%)	12% of ₹15,000 statutory cap	12% × ₹15,000 (Basic > ₹15k)	₹1,800.00
Employee ESIC (0.75%)	0.75% of Gross (Exempt > ₹21k)	Gross ₹29,057 > ₹21,000 ceiling	₹0.00
Total Employee Deductions	Sum of all deductions	₹1,800 + ₹0 + ₹0 + ₹0	₹1,800.00
NET TAKE-HOME SALARY	Earned Gross - Total Deductions	₹29,057.00 - ₹1,800.00	₹27,257.00
Employer PF (12% EPF/EPS)	12% of Basic Salary	12% × ₹16,868	₹2,024.00
PF Admin & EDLI Charges	1% of Basic Salary	1% × ₹16,868	₹169.00
Gratuity Accrual Provision	(Basic × 15) / (26 × 12)	(₹16,868 × 15) / (312)	₹811.00
Total Employer Contribution	Sum of all employer costs	₹2,024 + ₹169 + ₹811	₹3,004.00
TOTAL MONTHLY CTC	Earned Gross + Employer Overhead	₹29,057.00 + ₹3,004.00	₹32,061.00

KEY RESULTS FOR CLIENT & EMPLOYEE (BRIJESH):

- Net Salary Credited to Bank Account: ₹27,257.00 (Gross ₹29,057.00 - PF ₹1,800.00)
- Total Statutory Overhead Borne by Company: ₹3,004.00 (PF ₹2,024 + Admin ₹169 + Gratuity ₹811)
- Total Cost to Company (CTC) for Month: ₹32,061.00 (Earned Gross + Employer Contribution)
- Fully compliant with EPFO statutory wage ceiling & Payment of Gratuity Act, 1972.

